

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$90.67 ▼ 5.21%	12M Price Target \$95.00	52-Week Range \$63.52 – \$153.86	Market Cap \$81.64B
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HOOD: Crypto Darling Cools as Rate Decision Looms

WHAT HAPPENED

- HOOD is down ~13% in a week (\$104 → \$90) and volume today is LIGHT (7.5M vs. 24M on the Thursday flush) — that tells me this is froth coming out, not panic selling. The market is de-risking ahead of the Fed rate decision this week and heavy tech earnings, and HOOD got hit harder because it had run so hot.
- They just opened Ventures Fund II to retail investors — clever move that deepens the customer relationship, but the timing (rolling it out into a weak tape) probably contributed to today's dip since it's a distraction from the core narrative.

WHY IT MATTERS

Here's what I think is really going on: HOOD became THE poster child for the tokenization trade (turning real-world assets like stocks into blockchain tokens), and that story got ahead of itself. The BelnCrypto piece noting Robinhood leads in *holders* but not *dollars* is a subtle tell — retail is playing, but institutional money hasn't fully committed yet, which caps near-term monetization. The unusual call buying at \$89-91 strikes is interesting: someone's betting this bounces near-term, which fits with the low-volume selling today. Bigger picture, HOOD is now a rates-sensitive stock — a huge chunk of their profit comes from net interest income on customer cash, so if the Fed signals cuts this week, that's actually a headwind people aren't fully pricing in.

POLICY & POLITICAL WATCH

The regulatory backdrop is the friendliest it's been in a decade for HOOD — the current SEC under a crypto-friendly administration has effectively greenlit tokenized equities, and the CLARITY Act (crypto market structure bill) working through Congress would formally hand crypto oversight to the CFTC, which is a lighter regulator than the SEC. If that passes this fall, HOOD's crypto business gets a legal moat. Watch also the prediction markets angle — Fanatics is pushing in, and HOOD already owns this space via Kalshi partnership; a CFTC ruling expanding event contracts would be a direct catalyst. The risk lurking: any populist backlash on "gamification" of trading could resurface if markets get volatile.

IS IT EXPENSIVE?

At \$81B market cap on ~\$4.2B revenue, you're paying about \$19 for every \$1 of sales — that's expensive vs. traditional brokers like Schwab (\$6-7) but cheaper than pure crypto plays like Coinbase. On earnings, roughly 49x forward — meaning \$49 for every \$1 of profit next year, which only works if growth stays north of 25%. Fair, not cheap. The stock is 30% into its 52-week range, so the pullback has created some breathing room, but I wouldn't call it a bargain until it's closer to \$80.

Key Data

Price (USD)	\$90.67
12M Price Target	\$95.00
Upside / (Downside)	+4.8%
Market Cap	\$81.64B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	49.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$105.00	\$92.00	\$78.00
6 Months	\$130.00	\$100.00	\$70.00
1 Year	\$155.00	\$110.00	\$65.00
2 Years	\$200.00	\$135.00	\$60.00
5 Years	\$300.00	\$180.00	\$55.00
10 Years	\$500.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples, Healthcare, Utilities — classic defensive rotation. This is money hiding out before the Fed meeting, which tells you institutions are nervous about near-term risk.

COOLING OFF: Financials and high-beta fintech (where HOOD lives) — the group that led the rally is now the group getting sold. Not a fundamental problem, just profit-taking.

ROTATION WATCH: Money is flowing OUT of momentum and INTO defensives, which is a warning sign for HOOD short-term. If the Fed sounds dovish, this rotation reverses fast and HOOD rips back.

RELATED PLAY: If you like the tokenization/crypto-broker theme but want less froth, look at COIN (Coinbase) on weakness or the CME Group (CME) for the derivatives angle — they benefit from the same regulatory tailwinds without the retail-trading meme-stock risk.

WHO'S WINNING IN THIS SPACE?

- KO (Coca-Cola): Defensive bid, boring cash flows look great when everyone's nervous about the Fed.
- LLY (Eli Lilly): GLP-1 story keeps grinding higher regardless of rates.

HOOD CONTEXT: HOOD is lagging its fintech peers this week but is still up massively YTD — this is a rest, not a rejection. The stock led the group up, now it's leading it down. When the tape gets its footing back (post-Fed), HOOD typically leads again because it's the highest-beta name in the group.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the story, I don't love the entry price. Great business, wrong week to chase.

POSITION SIZE: 2-4% — the volatility is real (this thing moves 5% on a slow news day), so size it small enough that a 20% drawdown doesn't ruin your week.

ENTRY POINTS: I'd wait for \$78-85 to add meaningfully. The 52-week midpoint is around \$108, and buying below there with a catalyst (CLARITY Act headline, strong earnings) is the setup.

TIME HORIZON: 12-24 months — the catalysts I'm waiting for are (1) CLARITY Act passage, (2) Q3 earnings showing tokenization revenue actually monetizing, (3) Fed clarity on the rate path.

WHEN TO BAIL: If crypto trading volumes drop 30%+ two quarters in a row, or if the SEC does an about-face on tokenized securities, I'm out. Also if the stock breaks \$63 (the 52-week low) — that's a technical death signal.

HEDGING: Simplest hedge: buy a small put option (basically insurance that pays off if the stock drops) around the \$80 strike for a few months out. Or just keep the position small and hold cash for the dip.